

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: August 03, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-08-03

BUY

Composite · Valuation: BUY

Target \$176.15 · +52.6% upside

Price \$115.46

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$176.15 (+52.6% vs \$115.46); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$176.15	45%
FSA	Strong	Health +0.25 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +76%	15%
Composite	BUY	Score +0.64 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

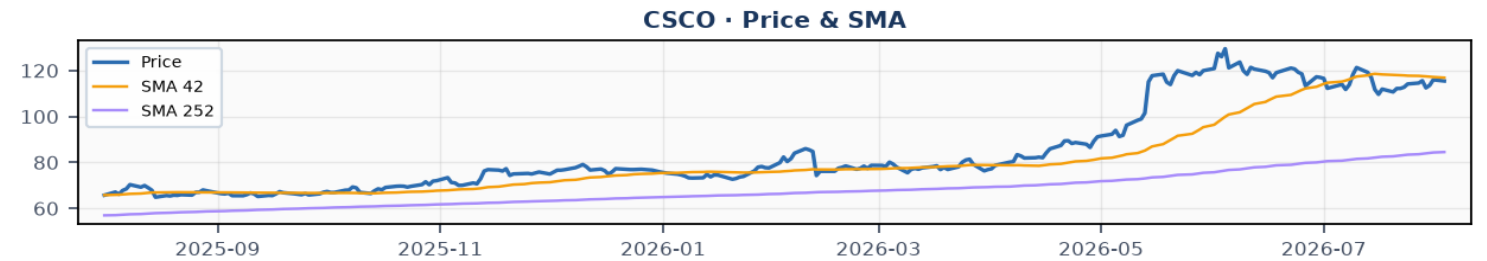
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$176.15. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$455.08B	Shares Out.	3941.4M
52-Week Range	\$65.75 – \$130.37	P/E (TTM)	38.5x
P/B	9.3x	Beta	1.00
Avg Volume	25.41M	Analyst Rec.	Buy
Revenue (TTM)	\$60.75B	Rev Growth	+12.0%
Op. Margin	25.0%	FCF (TTM)	\$13.29B
Gross Margin	64.3%	ROE	25.2%
EV/EBITDA	27.8x	Debt/Equity	67.5%
EPS (TTM)	\$3.00	Div Yield	1.4%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	63,452	69,258	74,214
Revenue Growth (%)	N/A	5.3%	12.0%	9.1%	7.2%
Net Income (\$M)	10,320	10,180	11,402	12,445	13,335
Gross Margin (%)	64.7%	64.9%	64.3%	64.3%	64.3%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
EPS (\$)	2.62	2.58	2.89	3.16	3.38
P/E (x)	44.10	44.70	39.91	36.57	34.13

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$116.91	Short-term trend	12m Momentum	+75.6%	
SMA (252d)	\$84.52	Long-term trend	3m Momentum	+25.1%	
RSI (14d)	46.5	Momentum oscillator	Ann. Volatility	25.4%	
Trend	Bullish		Sharpe Ratio	0.59	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+52.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$116.91, SMA252=\$84.52	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	24.1%	B&H; 30.4%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$72.58	-37.1%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	\$187.63	+62.5%	80%	Included in blend
Analyst consensus	\$130.23	+12.8%	20%	Included in blend
Blended target	\$176.15	+52.6%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.51%	4.00%	6.00%	\$286.08B	\$72.58	-37.1%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$228.39B	62.5x	50.7x	38.3%	+35.1%
MSI	Motorola Solutions, In	\$72.69B	35.3x	23.2x	17.6%	+7.4%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$54.36B	127.2x	68.4x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$455.08B	38.5x	27.8x	19.7%	+12.0%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (12.0% YoY); Healthy operating margins (25.0%); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.